

HSBC Holdings plc (0005)

Positive takeaway from 4Q25 results briefing to sustain robust share price momentum

HSBC's 4Q25 results and medium-term ROTE guidance exceeded expectations, driving a 6% share price increase in the afternoon session on 25 February, outperforming the HSI by 6ppt. The overall takeaway from the earnings briefing is net positive, with management providing greater clarity on the revenue growth trajectory for 2026-28, NII growth drivers and the roadmap to achieving HSB synergies. Additionally, management's comments on costs helped alleviate concerns regarding underinvestment in key areas such as technology and AI. In summary, we expect the share price to maintain strong momentum, with the next catalyst being the Investor Day in May.

Progressive revenue growth targeted at 5% by 2028

- **Management provided greater clarity on revenue growth**, guiding to positive revenue growth each year and a progressive trajectory to reach the structural target of 5% growth by 2028. The guidance is based on management's conservative approach that factors in downside scenarios.
- **J.P. Morgan view:** As the 5% revenue growth by 2028E is progressive and structural, this gives better clarity on revenue growth for 2026 and 2027.

NII guidance reflects conservative assumptions and upside potential

- **Banking NII guidance factors in potential headwinds:** Management gave some clarity on assumptions underpinning the FY26 banking NII guidance of at least \$45bn. On interest rates, management referenced the end-January forward rate curve for major currencies. The USD forward yield curve in January implies 47bps of rate cuts in 2026, while the latest yield curve on 25 February implies a 54bps rate cut. Management commented that banking NII could reach \$46bn in 2026 based only on 4Q25 momentum, but the published guidance is \$45bn+, given the potential headwinds, such as volatility in the rate outlook and several plausible downside scenarios for HIBOR. On the other side, structural hedges continue to support NII, though the largest increase in hedges are behind the company.
- **Deposit growth is a foundational driver of NII**, with strength seen across business lines, markets and customer segments. While RMB appreciation and China's global tax policy may affect cross-border flows and new account openings by Chinese nationals, deposit growth is expected to be resilient due to HSBC's diversified customer base and strong franchise. Management explained that the slowdown in new account openings in 4Q was due to a strategic focus on more affluent customers and the introduction of minimum balance fees, and it remained confident about deposit growth.
- **Loan growth assumptions are conservative**, presenting upside risk if momentum improves.

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Overweight

0005.HK, 5 HK

Price: HK\$142.70

25 Feb 2026

Price Target: HK\$165.00

PT End Date: 31 Dec 2026

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- **J.P. Morgan view:** With banking NII guidance above \$45bn, exceeding market expectations, some concerns emerged regarding HSBC's ability to deliver the target if the interest rate outlook deteriorates. However, management clarified that NII growth is driven primarily by deposit growth, and that rate cut expectations and plausible downside scenarios have been factored into guidance. This should provide greater assurance to investors.

HSB privatization to unlock value and drive operational alignment

- **HSBC aims to realize \$0.9bn of upside from HSB privatization by 2028**, with \$500mn as accounting-based synergy and \$400mn potential upside contingent on market and customer behavior. Both are covered by the \$0.6bn restructuring charge, allocated primarily to technology harmonization and organizational alignment over three years.
- **The restructuring is focused on technology and role evolution**, including training and reskilling, rather than redundancies. Additional benefits may materialize if the credit cycle normalizes.

Cost discipline enables strategic investment in people, technology and AI

- **Cost discipline remains central**, with simplification savings ahead of plan in FY25. Management elaborated that 50% of the incremental costs goes to payroll inflation and the rest into growth investments.
- **Technology spend** is steady, at c20% of total expenses, targeting legacy app retirement, cloud optimization and generative AI initiatives.
- **AI deployment** spans three workstreams: (1) colleague enablement (85% staff access achieved with improved engineering productivity); (2) process re-engineering (50+ processes reviewed or re-engineered); and (3) customer experience (Gen-AI tools for relationship managers and contact center staff to improve productivity). The long-term vision is direct customer access to AI-driven services.
- **J.P. Morgan view:** Management's comments help alleviate concerns about HSBC underinvesting in key areas such as AI. We believe HSBC maintains an appropriate balance between cost discipline, achieved through the simplification of corporate structure and business lines, and investment for growth, particularly in talent and technology.

Capital generation remains strong and commitment to dividend and buyback reaffirmed

- **HSBC remains capital-generative**, and the start of 2026 has been strong. The current priority is restoring CET1 to 14-14.5% post-HSB privatization.
- **Reaffirmed commitment on dividend and buyback.** Management reaffirmed the 50% dividend payout ratio and emphasized that share buybacks (SBB) will continue as a tool for distributing surplus capital, with a commitment to SBB regardless of share price.
- **The HSB transaction enhances capital flexibility**, allowing a more efficient movement of capital within the group.

- **J.P. Morgan view:** We see upside risk to total return, notably from the potential for HSBC to resume share buybacks one quarter earlier than previously guided. There is also upside risk to the scale of SBB announcements, with consensus estimates prior to the 4Q25 results at approximately \$5bn for 2026 and \$11bn for 2027.

CRE risks in HK and Mainland China well managed, with improved portfolio quality

- **China CRE** exposure contracted to \$5.8bn in FY25 from \$7.6bn in FY24, with ECL charges below \$200mn in FY25 (vs. \$400mn in FY24), indicating improved portfolio quality.
- **HK CRE risk is nearly normalized:** Residential property prices and sales volumes are up, rental demand is stable, and retail sales growth has turned positive, though office vacancy rates remain elevated. HSBC is not a distressed seller and maintains strong collateral positions, with regular stress-testing on valuations. The focus is on credit-impaired HK CRE exposures with LTV >70%, totaling \$1.9bn as of FY25, with \$0.9bn in allowance against it. The risk differential (risky exposure - provisions) was largely stable y/y, at ~\$1bn. Management mentioned that the 2026 ECL charge guidance of ~40bps incorporates plausible downside scenarios, including ongoing pressure on HK CRE.
- **J.P. Morgan view:** We believe the worst has passed for HK CRE; even if we see only stabilization instead of recovery on HK CRE asset quality in 2026, the pressure for additional provision should ease. All else equal, there could be downside risk to the 2026 credit cost guidance of 40bps (vs. FY25's 39bps).

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 16%. This means that the adjusted dividend yield (including share buybacks) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2025-28 total shareholder return yield at 7-8% each year, the highest among our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals, as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2025/26/27/28 RoTE (excluding notable items) to be 16.7%/16.4%/16.5%/16.6%, broadly in line with HSBC's mid-teens guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$165 is based on our DDM analysis, with NAV discounted back to Dec-26E from FY28E and a fair P/B of 1.9x. Our key assumptions are a normalized ROE of 15.1%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks include:

- **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.

- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Apr-23	N	56.90	61
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165

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